

NMLS SAFE MLO EXAM PREPARATION

Practice Exam 7 of 7

Scheduled for: Wednesday, April 23, 2026

Focus: Final Comprehensive Review — Exam Day Simulation

Total Questions	Time Allowed	Passing Score	Exam Date
120 Questions	4 Hours	75% (90 correct)	April 24, 2026

Topic Area	Questions	% of Exam
Federal Mortgage-Related Laws (RESPA, TILA, ECOA, HMDA, SAFE, etc.)	Q1-28	~23%
General Mortgage Knowledge (Products, LTV, DTI, ARM, FHA, VA, etc.)	Q29-56	~23%
Loan Origination Activities (1003, TRID, Underwriting, ATR/QM)	Q57-86	~25%
Ethics (UDAAP, Fraud, Steering, Fair Lending)	Q87-105	~16%
Uniform State Content (SAFE Act, NMLS, Licensing, CE)	Q106-120	~13%

EXAM INSTRUCTIONS

1. This practice exam simulates the actual NMLS SAFE MLO national exam format.
2. Read each question carefully and select the BEST answer from the four choices.
3. Do not spend too much time on any single question — aim for about 2 minutes per question.
4. Answer all questions. There is no penalty for guessing.
5. The answer key with full explanations begins after Question 120.

6. Record your answers on a separate sheet for self-scoring.

Time Management Guide: 120 questions in 4 hours = 2 minutes per question

Suggested checkpoints: Q30 at 1 hr | Q60 at 2 hrs | Q90 at 3 hrs | Q120 at 4 hrs

Section 1: Federal Mortgage-Related Laws

1. The primary purpose of the Community Reinvestment Act (CRA) is to:

- A. Require lenders to report loan data by census tract
- B. Encourage depository institutions to meet the credit needs of all segments of their communities, including low- and moderate-income areas
- C. Prohibit discrimination in mortgage lending
- D. Regulate mortgage broker compensation

2. Under TILA, the 'finance charge' includes all of the following EXCEPT:

- A. Discount points
- B. Loan origination fee
- C. PMI premiums
- D. Title insurance premium paid to a company chosen by the borrower from a list

3. Under RESPA, a 'thing of value' that constitutes an illegal kickback under Section 8 includes:

- A. Only cash payments
- B. Only payments exceeding \$500
- C. Any item of value, including money, gifts, services, or marketing support
- D. Only items exchanged between lenders and title companies

4. A lender is required to provide a RESPA Servicing Transfer Disclosure Notice when the loan is sold to another servicer. When must the current servicer provide this notice?

- A. Within 3 business days of transfer
- B. At least 15 business days before the effective date of the transfer
- C. At least 30 calendar days before the effective date of the transfer
- D. At closing

5. Under the Equal Credit Opportunity Act, a lender is required to retain records of adverse action notices for:

- A. 12 months
- B. 24 months
- C. 25 months
- D. 7 years

6. Which of the following is considered an 'adverse action' under ECOA that requires a written notice to the applicant?

- A. Approving a loan at a higher rate than requested
- B. Declining a loan application
- C. Approving a loan with different terms than requested (counteroffer)
- D. Both B and C if the applicant does not accept

7. The Gramm-Leach-Bliley Act (GLBA) requires financial institutions to:

- A. Provide annual privacy notices to customers and allow opt-out of data sharing with non-affiliated third parties
- B. Conduct annual audits of mortgage files
- C. Maintain a minimum capital reserve
- D. Register with both federal and state regulators

8. Under the SAFE Act, a person is NOT required to be licensed as an MLO if they:

- A. Take a residential mortgage loan application once a year
- B. Offer terms to a specific borrower for a residential mortgage loan
- C. Are a real estate agent who only discusses general financing terms without binding any party
- D. Arrange a residential mortgage loan once per year

9. Under HMDA, which of the following data points is reported for HMDA-covered transactions?

- A. The borrower's credit score (as of 2018 HMDA rule)
- B. The borrower's net worth
- C. The lender's underwriting manual used
- D. The appraiser's license number

10. The primary difference between HOEPA 'high-cost' loans and HPML 'higher-priced' loans is:

- A. HOEPA loans have lower rate thresholds and more severe restrictions
- B. HPML loans have more severe restrictions than HOEPA loans
- C. HOEPA only applies to second mortgages
- D. HPML loans are prohibited, while HOEPA loans are allowed with disclosures

11. Under TRID, which of the following changes requires a new 3-business-day waiting period after a revised Closing Disclosure?

- A. Minor adjustment to title fees
- B. Addition of the property address
- C. APR increases by more than 1/8 of 1% above the APR on the most recent CD provided
- D. Change in the loan servicer

12. Which federal agency is primarily responsible for enforcing ECOA for non-bank mortgage lenders?

- A. HUD
- B. Federal Reserve
- C. CFPB
- D. OCC

13. Under Dodd-Frank, loan originator compensation rules prohibit:

- A. All forms of compensation based on loan volume
- B. Compensation based on loan terms (such as interest rate or product type)
- C. Flat fee per loan compensation structures
- D. All employer-paid compensation

14. HMDA data is used by regulators and the public primarily to:

- A. Set maximum interest rates
- B. Evaluate fair lending compliance and identify potential discrimination patterns
- C. Determine property tax assessments
- D. Calculate lender reserve requirements

15. The Right of Rescission under TILA allows the borrower 3 business days to cancel. For this rescission right, 'business days' means:

- A. Monday through Friday only
- B. All calendar days except Sundays and federal holidays
- C. All calendar days
- D. Business days as defined by the state where the property is located

16. Under the Fair Housing Act, a lender who offers different loan terms to applicants of different races with similar financial profiles is engaged in:

- A. Risk-based pricing, which is legal
- B. Disparate treatment discrimination, which is illegal
- C. Disparate impact, which requires proof of discriminatory intent
- D. Acceptable market segmentation

17. The 'net tangible benefit' test in mortgage lending is relevant to:

- A. Determining if a borrower can afford the loan
- B. Evaluating whether a refinance provides sufficient benefit to justify the costs
- C. Calculating the loan-to-value ratio
- D. Assessing whether a borrower meets income requirements

18. Which of the following best defines a 'bona fide personal financial emergency' exception to the TRID waiting periods?

- A. The borrower simply wants to close quickly
- B. A genuine, verifiable emergency that necessitates immediate closing, documented by the borrower
- C. An emergency declared by the lender to expedite processing
- D. A market-rate change of more than 1%

19. Under the SAFE Act, an individual loan processor who exercises discretionary authority in determining whether a borrower qualifies for a loan would be considered:

- A. An underwriter, not an MLO
- B. An MLO who must be licensed
- C. An administrative employee exempt from licensure
- D. A support staff member with no licensing requirement

20. Which of the following is TRUE regarding the NMLS Consumer Access portal?

- A. It is available only to law enforcement
- B. It allows consumers to verify the licensure status of MLOs and companies
- C. It contains detailed financial information about individual MLOs
- D. It is only updated annually

21. Under the BSA/AML requirements, which type of report should an MLO file when they suspect a borrower is attempting to structure transactions to avoid CTR filing requirements?

- A. Currency Transaction Report (CTR)
- B. Suspicious Activity Report (SAR)
- C. Bank Secrecy Report (BSR)
- D. Mortgage Fraud Report (MFR)

22. An MLO who holds licenses in multiple states must:

- A. Use a different NMLS number for each state
- B. Maintain a single NMLS record but ensure their license is active in each state where they originate
- C. Be employed by a different company in each state
- D. Complete 20 hours of PE for each state annually

23. Under SAFE Act standards, which of the following is a mandatory element of a pre-licensure education course?

- A. 3 hours of ethics, including instruction on fraud prevention
- B. 5 hours of state-specific real estate law
- C. 2 hours of mortgage broker compensation
- D. 4 hours of conventional loan underwriting

24. After an MLO fails the national NMLS exam, how long must they wait before retaking it the first time?

- A. No waiting period required
- B. 30 days
- C. 90 days after the third failure
- D. 180 days after the third failure

25. A state-licensed MLO who fails to renew their license on time is in 'lapsed' status. To restore the license, they must typically:

- A. Retake the 20-hour pre-licensure education course
- B. Pay reinstatement fees and meet any additional state requirements, which may include retesting if the lapse is extended
- C. Wait 2 years before reapplying
- D. Only pay the renewal fee with no additional requirements

26. Under NMLS standards, an MLO must report which of the following to NMLS/their state regulator?

- A. Change of home address only
- B. Criminal convictions, regulatory actions, and material changes in employment within 30 days
- C. Change in marital status
- D. Annual income changes

27. Which of the following best describes the purpose of a surety bond for a licensed MLO or mortgage company?

- A. It insures the lender against loan defaults
- B. It provides financial protection to consumers harmed by MLO misconduct
- C. It protects the MLO from personal liability in lawsuits
- D. It guarantees the MLO's income

28. The SAFE Act's requirement that MLOs disclose their NMLS Unique Identifier applies to which types of communications?

- A. Personal social media posts only
- B. Residential mortgage loan applications and solicitations or advertisements for residential mortgage loans
- C. Internal company emails only
- D. Only documents submitted to borrowers at closing

Section 2: General Mortgage Knowledge

29. Which government agency oversees Fannie Mae and Freddie Mac?

- A. HUD
- B. Federal Reserve
- C. FHFA (Federal Housing Finance Agency)
- D. FDIC

30. The VA funding fee for a first-time use, no-down-payment purchase loan is approximately:

- A. 0.5%
- B. 1.25%
- C. 2.15%
- D. 3.3%

31. FHA's annual mortgage insurance premium (MIP) can be canceled when:

- A. The loan reaches 80% LTV
- B. The loan has been paid down to 78% LTV based on the original purchase price
- C. FHA annual MIP on loans with original LTV above 90% cannot be canceled for the life of the loan (for loans originated after June 2013)
- D. The borrower's credit score reaches 740

32. Which of the following best describes 'par pricing' for a mortgage?

- A. A rate at which no points are paid or received by either party
- B. A rate below the market average
- C. The prime rate plus a margin
- D. A fixed rate for the entire loan term

33. A 'bridge loan' is typically used to:

- A. Finance commercial real estate construction
- B. Provide short-term financing to bridge the gap between selling one home and purchasing another
- C. Permanently finance a home purchase with a 5-year term
- D. Finance renovations before a home is listed for sale

34. Which of the following is NOT a feature of a USDA Guaranteed Rural Housing Loan?

- A. No down payment required
- B. Income limits apply
- C. Geographic restrictions apply
- D. Available for investment properties

35. An interest-only mortgage allows the borrower to pay only interest for a specified period. At the end of the interest-only period:

- A. The loan balance remains the same and payments stay the same
- B. The loan is forgiven
- C. Payments increase because principal repayment begins, fully amortizing the remaining balance over the remaining term
- D. The interest rate resets to the current market rate

36. Which of the following best describes the difference between 'recourse' and 'non-recourse' loans?

- A. Recourse loans allow the lender to pursue the borrower's other assets after foreclosure; non-recourse loans do not
- B. Non-recourse loans are available only to commercial borrowers
- C. Recourse loans are insured by the government
- D. Non-recourse loans have lower interest rates

37. Which of the following mortgage products is designed specifically for purchasing and renovating a property simultaneously?

- A. Cash-out refinance
- B. FHA 203(k) Rehabilitation Loan
- C. USDA Direct Loan
- D. VA Cash-Out Refinance

38. The 'origination fee' charged by a lender is best described as:

- A. A fee that only applies to government loans
- B. A fee charged by the lender for processing and administering the loan
- C. A fee charged by the title company
- D. A fee that compensates the appraiser

39. Which of the following is TRUE about Fannie Mae's Desktop Underwriter (DU) and Freddie Mac's Loan Product Advisor (LPA)?

- A. They are government-mandated systems that must be used for all conventional loans
- B. They are automated underwriting systems that evaluate loan risk and provide findings
- C. They replace the need for a human underwriter entirely
- D. They are only used for jumbo loans

40. The FHA loan limit in most standard areas is set at what percentage of the conforming loan limit?

- A. 65%
- B. 80%
- C. 100%
- D. 115%

41. A 'rate cap' on an ARM loan protects the borrower by:

- A. Guaranteeing the rate will not increase for the life of the loan
- B. Limiting how much the rate can increase at each adjustment and over the life of the loan
- C. Setting a floor below which the rate cannot decrease
- D. Locking the rate for the first 5 years

42. The 'margin' on an ARM is:

- A. The amount the rate can change at each adjustment
- B. The spread added to the index to determine the fully-indexed rate
- C. The initial rate below the market rate
- D. The lender's profit expressed as a percentage

43. Which of the following is a characteristic of a 'conventional' loan?

- A. It is insured or guaranteed by the federal government
- B. It is not insured or guaranteed by any government agency
- C. It requires mortgage insurance for all borrowers
- D. It can only be used for primary residences

44. Which factor would result in the LOWEST mortgage interest rate, all else being equal?

- A. Investment property with 75% LTV
- B. Primary residence with 60% LTV and 780 credit score
- C. Second home with 85% LTV
- D. Primary residence with 95% LTV and 680 credit score

45. Amortization in a mortgage refers to:

- A. The process of paying off the loan through regular principal and interest payments over time
- B. The annual increase in property value
- C. The calculation of the loan's prepayment penalty
- D. The process of obtaining PMI cancellation

46. Which of the following describes a 'subprime' mortgage?

- A. A loan below the prime rate
- B. A loan made to borrowers with impaired credit who do not qualify for prime (conventional) mortgage rates
- C. A government-insured loan for first-time buyers
- D. A loan with a below-market introductory rate

47. The debt-service-coverage ratio (DSCR) is most commonly used for:

- A. Qualifying borrowers for residential primary residences
- B. Evaluating the income of self-employed borrowers
- C. Qualifying investment properties based on rental income relative to debt service
- D. Calculating the maximum conforming loan amount

48. A 'shared appreciation mortgage' (SAM) is one in which:

- A. Two borrowers share equal responsibility for the mortgage
- B. The borrower receives a below-market rate in exchange for giving the lender a percentage of the home's future appreciation
- C. The lender and a government agency share the mortgage guarantee
- D. The borrower pays only half the interest for the first 5 years

49. Which of the following is a 'non-traditional' mortgage product requiring special disclosure under the SAFE Act's continuing education requirements?

- A. 30-year fixed-rate conventional loan
- B. Interest-only and payment-option ARMs
- C. FHA 30-year fixed-rate loan
- D. Conforming 15-year fixed-rate loan

50. Which secondary market entity was placed into government conservatorship in September 2008?

- A. Ginnie Mae and HUD
- B. Fannie Mae and Freddie Mac
- C. The Federal Home Loan Banks
- D. The Federal Reserve

51. A 'Homestyle Renovation' loan is offered by:

- A. FHA
- B. Fannie Mae
- C. VA
- D. USDA

52. Which of the following is TRUE about 'discount points' on a mortgage?

- A. They increase the interest rate
- B. Each point represents 1% of the loan amount paid upfront to reduce the interest rate
- C. They are only available on government loans
- D. They are required on all conventional loans

53. The 'break-even period' for paying discount points is calculated as:

- A. Loan balance divided by the monthly payment
- B. Cost of points divided by the monthly savings from the lower rate
- C. Number of months until full amortization
- D. Number of years until equity reaches 20%

54. Which of the following is a requirement for a loan to qualify as a 'Qualified Mortgage' (QM)?

- A. Fixed interest rate only
- B. No negative amortization, no interest-only payments, no balloon payments (with limited exceptions), and regular periodic payments
- C. Maximum LTV of 80%
- D. Minimum down payment of 5%

55. Which section of the URLA/1003 contains information about the borrower's assets?

- A. Section 1 — Borrower Information
- B. Section 2 — Financial Information — Real Estate
- C. Section 3 — Financial Information — Other Properties
- D. Section 4 — Financial Information — Assets and Liabilities

56. A 'verbal verification of employment' (verbal VOE) is typically completed:

- A. At the time of application
- B. Just before or on the day of closing to confirm the borrower is still employed
- C. 30 days before closing
- D. After the loan funds

Section 3: Loan Origination Activities

57. When calculating qualifying income for a self-employed borrower, lenders typically use:

- A. Gross business revenue
- B. The average of the last 2 years' tax return net income (Schedule C, Schedule E, or K-1)
- C. The most recent year's income only
- D. A minimum income floor of \$50,000

58. Which of the following assets would typically be considered 'liquid' for mortgage qualifying?

- A. Vested 401(k) or IRA funds
- B. Equity in the property being purchased
- C. Unvested stock options
- D. Personal property (cars, jewelry)

59. The purpose of a 'flood certification' in mortgage origination is to:

- A. Determine if the property needs earthquake insurance
- B. Determine if the property is in a Special Flood Hazard Area (SFHA) requiring flood insurance
- C. Assess the property's drainage system
- D. Satisfy USDA geographic eligibility requirements

60. In mortgage underwriting, 'capacity' refers to:

- A. The borrower's credit history
- B. The property's condition
- C. The borrower's ability to repay the loan, measured through income and debt ratios
- D. The amount of equity in the property

61. A 'subordination agreement' in mortgage lending is used when:

- A. A borrower files for bankruptcy
- B. A junior lienholder agrees to keep their lien in subordinate position when a first mortgage is refinanced
- C. A property is transferred to a new owner
- D. A borrower requests a loan modification

62. A 'streamlined appraisal' or 'property inspection waiver' (PIW) may be offered when:

- A. All loans over \$1 million
- B. AUS findings indicate sufficient data exists to support value without a full appraisal
- C. The borrower refuses an appraisal
- D. The property is new construction

63. Which of the following costs is typically an 'escrow item' (prepaid) rather than a 'closing cost'?

- A. Lender's origination fee
- B. Title insurance premium
- C. Homeowner's insurance premium for the first year
- D. Credit report fee

64. Under TRID, 'services you can shop for' in Section C of the Loan Estimate include:

- A. Appraisal fee
- B. Credit report fee
- C. Survey and pest inspection
- D. Flood determination fee

65. A 'title commitment' (or title binder) issued by a title company means:

- A. The title is guaranteed to be clear of all liens
- B. The title company has researched the title and commits to issuing title insurance subject to listed exceptions
- C. The seller has cleared all liens on the property
- D. The property has passed all inspections

66. In a purchase transaction, what is the maximum time a seller can provide a seller credit (concession) for closing costs?

- A. Maximum allowed varies by loan program (FHA: 6%, VA: 4%, Conventional: 2-9% based on LTV)
- B. No maximum — unlimited seller credits allowed
- C. Maximum 3% for all loan types
- D. Maximum 5% for government loans only

67. What is 'chain of title' in real estate?

- A. The list of lenders who have held the mortgage on the property
- B. The chronological record of all previous owners and transfers of ownership for a property
- C. The sequence of inspections required before closing
- D. The sequence of loan applications submitted for the property

68. An MLO preparing a Loan Estimate notices they misunderstood the loan purpose. The borrower wants a 'cash-out refinance' but the LE shows 'rate-and-term refinance.' The MLO should:

- A. Proceed since it is a minor error
- B. Issue a corrected Loan Estimate with the proper loan purpose before closing
- C. Correct it on the Closing Disclosure only
- D. Have the borrower initial the error at closing

69. What is the purpose of the 'Notice of Right to Receive Copy of Appraisal' under ECOA?

- A. To give the appraiser permission to inspect the property
- B. To inform the borrower that they have the right to receive a copy of the appraisal at no charge, promptly upon completion
- C. To notify the AMC that the appraisal is ordered
- D. To inform the seller that the lender has ordered an appraisal

70. A 'purchase money mortgage' (PMM) specifically refers to:

- A. Any mortgage used to purchase real estate
- B. A mortgage given by the seller to help finance the buyer's purchase (seller financing)
- C. A mortgage specifically for purchasing investment properties
- D. An FHA purchase loan

71. An MLO who processes a loan knowing it contains a false Social Security number commits:

- A. A civil infraction only
- B. Identity theft and mortgage fraud — both federal felonies
- C. A technical RESPA violation only
- D. A minor processing error

72. Which of the following situations represents a conflict of interest that an MLO should disclose?

- A. The MLO recommends a title company that is owned by their employer
- B. The MLO uses an AUS system provided by Fannie Mae
- C. The MLO discloses their NMLS number as required
- D. The MLO works for a bank rather than a broker

73. Under the CFPB's ability-to-repay rule, a lender who knowingly originates a loan the borrower cannot afford is potentially liable for:

- A. Only regulatory fines
- B. Up to 3 years of finance charges, attorney fees, and other damages if the borrower brings a private legal action
- C. Only criminal charges
- D. A maximum fine of \$1,000 per violation

74. An MLO who discriminates against a borrower based on the demographic composition of the neighborhood where the property is located is committing:

- A. Lawful risk-based pricing
- B. Reverse redlining if the area is predominantly minority
- C. Redlining, which violates the Fair Housing Act and ECOA
- D. Geographic underwriting, which is standard practice

75. When an MLO suspects a real estate transaction may involve money laundering, they should:

- A. Proceed with the transaction if the borrower qualifies financially
- B. Immediately alert the borrower so they can provide an explanation
- C. Report their suspicions through their institution's BSA/AML compliance program (filing a SAR if required) without tipping off the borrower
- D. Decline the loan only if the suspicious activity is certain

76. Which of the following best describes 'flipping' as a form of mortgage fraud?

- A. Legally buying a distressed property, renovating it, and selling at a profit
- B. Fraudulently inflating the property's value through a series of related-party sales and using the inflated appraisal to obtain a larger loan
- C. Rapidly processing a loan to meet a closing deadline
- D. Refinancing multiple times for legitimate rate improvements

77. The 'duty to warn' in mortgage lending ethics means an MLO should:

- A. Always warn borrowers about potential rate increases in ARMs
- B. Provide borrowers with clear, accurate information about risks, even when it might cause the borrower to choose a different product or lender
- C. Warn competitors about potentially fraudulent borrowers
- D. Warn regulators about borrowers with multiple applications

78. An MLO who works for a federally regulated bank and also personally refers clients to an unaffiliated title company owned by the MLO's spouse without disclosure is likely violating:

- A. Only the bank's internal ethics policy
- B. RESPA Section 8, as an undisclosed AfBA or improper kickback
- C. FCRA
- D. The SAFE Act

79. An MLO who charges a higher origination fee to a borrower based on the borrower's ethnicity, while charging lower fees to similarly qualified borrowers of other ethnicities, is engaging in:

- A. Risk-based pricing — legal and common
- B. Pricing discrimination — illegal under ECOA and the Fair Housing Act
- C. Acceptable negotiation
- D. A TRID fee tolerance violation

80. A state-licensed MLO who wants to originate loans in a new state must:

- A. Complete a new 20-hour pre-licensure course for that state
- B. Pass the national SAFE test again
- C. Submit a new license application through NMLS for that state, which may include a state-specific test or additional state requirements
- D. Obtain employment at a company licensed in that new state as the only requirement

81. Under the SAFE Act, which of the following is TRUE about the passage requirement for the SAFE MLO National Test?

- A. The passing score is 80% and is the same for all states
- B. The passing score is 75% of correct answers
- C. There is no minimum passing score — any completion earns credit
- D. The passing score is 70%

82. Which of the following is an example of unlicensed activity that would violate the SAFE Act?

- A. A licensed MLO processing loan paperwork
- B. An unlicensed administrative assistant taking a complete mortgage loan application from a borrower
- C. A licensed MLO referring a client to another licensed MLO at a different company
- D. A licensed MLO discussing general mortgage rates with a potential client at an open house

83. A licensed mortgage company that fails to supervise its MLOs and allows them to engage in fraudulent practices may face:

- A. No liability since the company did not personally commit the fraud
- B. Regulatory action, including fines, license suspension/revocation, and civil liability for the actions of its MLOs
- C. Only informal warnings from the state regulator
- D. Liability only if the company had actual knowledge of each fraud

84. Which of the following BEST describes the NMLS system's purpose?

- A. It is a federal agency that directly employs all MLOs
- B. It is a multi-state licensing and registration system that provides state licensing officials a common platform and makes MLO information available to the public
- C. It is operated by the Federal Reserve to regulate mortgage rates
- D. It issues direct NMLS-branded mortgage licenses that supersede state licenses

85. The ECOA requires that joint applicants be treated as a single applicant for notification purposes. When two applicants apply for credit and the lender takes adverse action, the lender must:

- A. Send adverse action notices to both applicants
- B. Send only one notice to the primary applicant
- C. Send notice only to the applicant with the higher income
- D. Send notice to whichever applicant initiated the application

86. Under the SAFE Act, an MLO's license number must be included in which of the following?

- A. The MLO's personal financial statements
- B. All residential mortgage loan applications and advertisements
- C. All communications with the state regulator only
- D. Internal company documents only

Section 4: Ethics

87. Which of the following disclosures must be provided within 3 business days of receiving a completed application under TRID?

- A. Closing Disclosure
- B. Loan Estimate
- C. Affiliated Business Arrangement Disclosure
- D. Both B and C

88. A 'private label' mortgage-backed security differs from an agency MBS because:

- A. It is backed by FHA loans exclusively
- B. It is issued by private entities without a government or GSE guarantee
- C. It only includes prime loans
- D. It is regulated by HUD

89. Which of the following is NOT a valid method for verifying a borrower's assets for mortgage qualification?

- A. Two months of bank statements
- B. A verbal statement from the borrower's employer
- C. Investment account statements
- D. A verification of deposit (VOD) from the financial institution

90. Which loan program allows for a down payment as low as 3% for first-time homebuyers under a conventional loan?

- A. FHA only
- B. Fannie Mae's HomeReady and Freddie Mac's Home Possible programs
- C. VA loans
- D. USDA loans

91. The 'fully indexed rate' on an ARM is calculated as:

- A. The initial teaser rate plus the margin
- B. The current index plus the lifetime cap
- C. The current index value plus the loan's margin
- D. The average of the index over the past 12 months plus the margin

92. Which of the following describes the 'due-on-sale' clause in a mortgage?

- A. A clause requiring the borrower to sell the property after 5 years
- B. A clause allowing the lender to demand full repayment if the property is sold or transferred without lender consent
- C. A clause requiring payment of a prepayment penalty upon sale
- D. A clause that sets the loan's maturity date

93. A 'wraparound mortgage' is best described as:

- A. A mortgage that includes landscaping and fence repairs
- B. A new mortgage that encompasses the existing mortgage, with the seller collecting payments and continuing to pay the original loan
- C. A mortgage that covers multiple properties
- D. A loan that refinances and pays off all existing liens

94. The 'maximum financed amount' for an FHA loan is determined by:

- A. The borrower's income
- B. The lesser of the FHA loan limit for the area or the appraised value (minus the required MIP and down payment)
- C. The purchase price only
- D. The borrower's credit score

95. A lender who offers a 'no-point, no-fee' mortgage is:

- A. Charging no interest
- B. Covering all closing costs by charging a higher interest rate
- C. Offering a government-subsidized loan
- D. Waiving the appraisal and credit report fees only

96. In mortgage lending, 'seasoning' of funds most commonly refers to:

- A. The age of the property
- B. How long funds have been in the borrower's account (typically 2-3 months)
- C. The duration of the borrower's employment
- D. The time since the property was last sold

97. When completing the URLA, a borrower who is self-employed and owns 25% or more of a business must document income using:

- A. A single year of W-2 forms
- B. Business bank statements for the past 6 months
- C. 2 years of personal and business tax returns, and the most recent business balance sheet and P&L;
- D. A letter from the borrower's accountant stating annual income

98. A borrower who receives alimony or child support income may include it for qualifying if:

- A. The payments are voluntary
- B. The income is documented by a court order or agreement and has been received consistently for at least 6 months, and is expected to continue for at least 3 years
- C. The income has been received for at least 5 years
- D. The amount exceeds 10% of the borrower's total income

99. Under TRID, a 'changed circumstance' that allows for a revised Loan Estimate includes:

- A. The lender changes its fee schedule
- B. The borrower's financial condition changes after application
- C. An Act of God, disaster, or other emergency that affects the settlement services or closing costs
- D. The loan officer made an error on the original LE

100. The 'title search' in a real estate transaction is performed to:

- A. Confirm the property's physical boundaries
- B. Identify any existing liens, encumbrances, easements, or ownership claims against the property
- C. Verify the property's zoning classification
- D. Estimate the property's market value

101. Which of the following is NOT included in the calculation of the annual percentage rate (APR)?

- A. Mortgage insurance premiums
- B. Discount points
- C. Property taxes
- D. Origination fees

102. A lender must provide a list of homeownership counseling organizations to a mortgage applicant within:

- A. 1 business day of application
- B. 3 business days of application
- C. 7 business days of application
- D. At closing only

103. Which of the following is an example of 'churning' or 'loan flipping' that harms a consumer?

- A. Refinancing from 7.5% to 6.0% with break-even in 18 months
- B. Refinancing every 6 months each time to access equity while increasing the loan balance
- C. Refinancing to consolidate credit card debt at a lower rate
- D. Refinancing from an ARM to a fixed-rate when the ARM is about to adjust upward

104. An MLO's fiduciary duty to their borrower includes:

- A. Maximizing the lender's profit on every transaction
- B. Acting in the borrower's best interest, disclosing material information, and avoiding conflicts of interest
- C. Guaranteeing the lowest rate in the market
- D. Completing the loan regardless of the borrower's ability to repay

105. Which of the following represents a 'deceptive practice' under UDAAP?

- A. Clearly disclosing all loan fees on the Loan Estimate
- B. Advertising a low introductory rate without disclosing the subsequent higher rate or conditions
- C. Providing borrowers with 3 business days to review the Loan Estimate
- D. Explaining prepayment penalties before the borrower signs

Section 5: Uniform State Content (SAFE Act & Licensing)

106. The ethical standard of 'fair dealing' in mortgage lending requires that MLOs:

- A. Charge the same fee to every borrower regardless of loan complexity
- B. Deal honestly and openly with borrowers, competitors, and the public
- C. Only represent one lender at a time
- D. Complete loans only for borrowers with credit scores above 700

107. An MLO who recommends a product primarily because it pays them the highest commission, without regard for the borrower's best interest, is guilty of:

- A. Smart business practice
- B. Loan steering — a violation of Regulation Z and UDAAP
- C. Acceptable product recommendation
- D. Compliant risk-based pricing

108. Under the SAFE Act, a state-licensed MLO who moves to work for a federally chartered bank:

- A. Can continue using their state license at the bank
- B. Must surrender their state license and register with the NMLS as a federally registered MLO
- C. Must maintain both their state license and federal registration simultaneously
- D. Is no longer subject to any oversight

109. Which of the following is a component of the 'character' element in the traditional 'Three Cs' of underwriting?

- A. Debt-to-income ratio
- B. Loan-to-value ratio
- C. Credit history and willingness to repay debts
- D. Property condition

110. An MLO who helps a borrower falsely claim that a rental property is a primary residence on a loan application is committing:

- A. Creative underwriting
- B. Occupancy fraud — a form of mortgage fraud
- C. A minor documentation error
- D. A permissible exception to LTV requirements

111. The minimum passing score on the NMLS National Test Component (SAFE MLO Test) is:

- A. 70%
- B. 75%
- C. 80%
- D. 85%

112. Under NMLS rules, continuing education must be completed by an MLO:

- A. Within 6 months of initial licensure
- B. Annually to maintain an active license, with completion required before renewal
- C. Every 3 years at the time of license renewal
- D. Only when changing employers

113. Which of the following would be grounds for the AUTOMATIC revocation of an MLO's state license under the SAFE Act?

- A. Being late on a credit card payment
- B. Being convicted of any felony
- C. Having a judgment entered against you in a civil lawsuit
- D. Filing for personal bankruptcy

114. Under the SAFE Act, the primary purpose of requiring MLO registration and licensing is to:

- A. Generate revenue for state governments
- B. Protect consumers by ensuring MLOs meet minimum competency and ethical standards and are subject to regulatory oversight
- C. Limit the number of mortgage originators in the market
- D. Standardize mortgage interest rates

115. The 'dual registration' prohibition under the SAFE Act means an MLO:

- A. Cannot work for two lenders simultaneously
- B. Cannot hold both state MLO licensure and federal MLO registration at the same time for the same origination activities
- C. Cannot be licensed in more than 2 states at once
- D. Cannot register as both a broker and a banker

116. Which of the following is TRUE about the NMLS Unique Identifier?

- A. It changes every time an MLO switches employers
- B. It is assigned once and remains with the MLO for their entire career, regardless of employer changes or state moves
- C. It expires when an MLO's license expires
- D. It is different for each state in which the MLO is licensed

117. Under most state laws, a licensed MLO who receives a consumer complaint must:

- A. Ignore complaints filed more than 6 months after the loan closed
- B. Cooperate with the state regulator's investigation and provide requested documentation
- C. Only respond to complaints forwarded by the CFPB
- D. Settle all complaints within 30 days regardless of merit

118. Which of the following is generally TRUE about the NMLS background check requirements for state MLO licensure?

- A. Only criminal convictions within the past 10 years are reviewed
- B. A fingerprint-based background check through the FBI is required for all state-licensed MLOs
- C. Background checks are optional if the MLO has been in the industry for 5+ years
- D. Background checks are only conducted at initial licensure, not at renewal

119. A 'net branch' arrangement in which an MLO operates under a mortgage company's license but controls their own branch finances is:

- A. A standard and universally permitted business model
- B. Prohibited in many states because it can result in unlicensed operation and evasion of regulatory oversight
- C. Required for independent mortgage brokers
- D. Only permitted for FHA lenders

120. Under the SAFE Act, a state-licensed MLO who wants to continue originating while their license renewal application is pending may do so only if:

- A. Their state has a specific provision allowing it AND they have submitted a timely and complete renewal application before expiration
- B. Their supervisor gives written permission
- C. They have been licensed for more than 5 years
- D. The CFPB grants a waiver

Section 1: Federal Mortgage-Related Laws

Q1: The primary purpose of the Community Reinvestment Act (CRA) is to:

- A. Require lenders to report loan data by census tract
- ✓ **B. Encourage depository institutions to meet the credit needs of all segments of their communities, including low- and moderate-income areas**
- C. Prohibit discrimination in mortgage lending
- D. Regulate mortgage broker compensation

Explanation: The Community Reinvestment Act (CRA) encourages federally insured depository institutions to help meet the credit needs of their entire community, particularly low- and moderate-income (LMI) neighborhoods. Federal regulators evaluate CRA performance during exams.

Q2: Under TILA, the 'finance charge' includes all of the following EXCEPT:

- A. Discount points
- B. Loan origination fee
- C. PMI premiums
- ✓ **D. Title insurance premium paid to a company chosen by the borrower from a list**

Explanation: TILA's finance charge includes interest, points, loan origination fees, and PMI. Title insurance paid to a company selected by the borrower from a provider list (where the borrower has a genuine choice) is excluded from the finance charge calculation.

Q3: Under RESPA, a 'thing of value' that constitutes an illegal kickback under Section 8 includes:

- A. Only cash payments
- B. Only payments exceeding \$500
- ✓ **C. Any item of value, including money, gifts, services, or marketing support**
- D. Only items exchanged between lenders and title companies

Explanation: RESPA's Section 8 prohibition applies to any 'thing of value' — not just cash. This includes money, loans, discounts, credits, merchandise, services, marketing support, referral bonuses, or anything else of value.

Q4: A lender is required to provide a RESPA Servicing Transfer Disclosure Notice when the loan is sold to another servicer. When must the current servicer provide this notice?

- A. Within 3 business days of transfer
- ✓ **B. At least 15 business days before the effective date of the transfer**
- C. At least 30 calendar days before the effective date of the transfer
- D. At closing

Explanation: Under RESPA Section 6, the transferring servicer must provide written notice at least 15 business days before the effective date of the servicing transfer. The new servicer must also provide notice within 15 business days after the effective transfer date.

Q5: Under the Equal Credit Opportunity Act, a lender is required to retain records of adverse action notices for:

- A. 12 months
- B. 24 months
- ✓ C. 25 months
- D. 7 years

Explanation: Under ECOA/Regulation B, creditors must retain records of adverse action notices, credit applications, and related documents for 25 months (for non-business credit). For business credit, the retention period is 12 months.

Q6: Which of the following is considered an 'adverse action' under ECOA that requires a written notice to the applicant?

- A. Approving a loan at a higher rate than requested
- B. Declining a loan application
- C. Approving a loan with different terms than requested (counteroffer)
- ✓ D. Both B and C if the applicant does not accept

Explanation: Under ECOA, adverse action includes denial of credit, termination of account, or an unfavorable change in terms. If the lender makes a counteroffer and the applicant doesn't accept it within a reasonable time, that is also an adverse action requiring notice.

Q7: The Gramm-Leach-Bliley Act (GLBA) requires financial institutions to:

- ✓ A. Provide annual privacy notices to customers and allow opt-out of data sharing with non-affiliated third parties
- B. Conduct annual audits of mortgage files
- C. Maintain a minimum capital reserve
- D. Register with both federal and state regulators

Explanation: GLBA requires financial institutions to protect consumers' private financial information, provide annual privacy notices, and allow consumers to opt out of sharing their information with non-affiliated third parties.

Q8: Under the SAFE Act, a person is NOT required to be licensed as an MLO if they:

- A. Take a residential mortgage loan application once a year
- B. Offer terms to a specific borrower for a residential mortgage loan
- ✓ C. Are a real estate agent who only discusses general financing terms without binding any party
- D. Arrange a residential mortgage loan once per year

Explanation: Real estate agents discussing general loan terms (e.g., 'rates are around 7%') without specifically offering terms to a particular borrower are not acting as MLOs. License requirements apply to those who take applications, negotiate terms, or offer specific terms to specific borrowers.

Q9: Under HMDA, which of the following data points is reported for HMDA-covered transactions?

- ✓ A. The borrower's credit score (as of 2018 HMDA rule)
- B. The borrower's net worth
- C. The lender's underwriting manual used
- D. The appraiser's license number

Explanation: The 2015 HMDA rule (effective 2018) significantly expanded HMDA data reporting to include credit scores, DTI, LTV, pricing data (rate spread), loan features, and AUS findings — among 48 total data points.

Q10: The primary difference between HOEPA 'high-cost' loans and HPML 'higher-priced' loans is:

- ✓ **A. HOEPA loans have lower rate thresholds and more severe restrictions**
- B. HPML loans have more severe restrictions than HOEPA loans
- C. HOEPA only applies to second mortgages
- D. HPML loans are prohibited, while HOEPA loans are allowed with disclosures

Explanation: HOEPA (high-cost) loans have lower rate thresholds and are subject to more severe restrictions (prohibition on certain terms, required pre-loan counseling). HPMLs have higher thresholds and face enhanced protections (escrow requirements, appraisal requirements) but less stringent restrictions than HOEPA loans.

Q11: Under TRID, which of the following changes requires a new 3-business-day waiting period after a revised Closing Disclosure?

- A. Minor adjustment to title fees
- B. Addition of the property address
- ✓ **C. APR increases by more than 1/8 of 1% above the APR on the most recent CD provided**
- D. Change in the loan servicer

Explanation: Three specific changes require a new 3-business-day waiting period after a revised CD: (1) the APR increases by more than 1/8% (0.125%) for fixed-rate loans or 1/4% for irregular loans, (2) the loan product changes, or (3) a prepayment penalty is added.

Q12: Which federal agency is primarily responsible for enforcing ECOA for non-bank mortgage lenders?

- A. HUD
- B. Federal Reserve
- ✓ **C. CFPB**
- D. OCC

Explanation: The CFPB has primary enforcement authority for ECOA as it applies to non-bank mortgage lenders, payday lenders, and other non-depository institutions. The Federal Reserve and OCC enforce ECOA for the banks they supervise.

Q13: Under Dodd-Frank, loan originator compensation rules prohibit:

- A. All forms of compensation based on loan volume
- ✓ **B. Compensation based on loan terms (such as interest rate or product type)**
- C. Flat fee per loan compensation structures
- D. All employer-paid compensation

Explanation: Regulation Z prohibits loan originator compensation that varies based on loan terms other than loan amount. MLOs cannot receive higher compensation for steering borrowers to higher rates, unfavorable loan products, or other terms.

Q14: HMDA data is used by regulators and the public primarily to:

- A. Set maximum interest rates
- ✓ **B. Evaluate fair lending compliance and identify potential discrimination patterns**
- C. Determine property tax assessments
- D. Calculate lender reserve requirements

Explanation: HMDA data allows regulators, community groups, and the public to identify potential discriminatory lending patterns, evaluate lenders' compliance with the Fair Housing Act and ECOA, and assess the extent to which lenders serve the housing needs of their communities.

Q15: The Right of Rescission under TILA allows the borrower 3 business days to cancel. For this rescission right, 'business days' means:

- A. Monday through Friday only
- ✓ **B. All calendar days except Sundays and federal holidays**
- C. All calendar days
- D. Business days as defined by the state where the property is located

Explanation: For TILA rescission, 'business days' means all calendar days except Sundays and federal public holidays. This is a broader definition than the 'business day' used for TRID delivery, which excludes only Sundays and federal holidays (same definition here).

Q16: Under the Fair Housing Act, a lender who offers different loan terms to applicants of different races with similar financial profiles is engaged in:

- A. Risk-based pricing, which is legal
- ✓ **B. Disparate treatment discrimination, which is illegal**
- C. Disparate impact, which requires proof of discriminatory intent
- D. Acceptable market segmentation

Explanation: Offering different terms based on race is disparate treatment — intentional discrimination — which is prohibited by the Fair Housing Act and ECOA. Disparate impact refers to neutral policies that have a disproportionate effect on protected classes, which does not require proof of intent.

Q17: The 'net tangible benefit' test in mortgage lending is relevant to:

- A. Determining if a borrower can afford the loan
- ✓ **B. Evaluating whether a refinance provides sufficient benefit to justify the costs**
- C. Calculating the loan-to-value ratio
- D. Assessing whether a borrower meets income requirements

Explanation: Net tangible benefit is evaluated in refinancing to determine whether the refinance provides genuine economic benefit to the borrower (such as lower rate, lower payment, or shorter term) that justifies the costs. Some state laws require a net tangible benefit test for refinances.

Q18: Which of the following best defines a 'bona fide personal financial emergency' exception to the TRID waiting periods?

- A. The borrower simply wants to close quickly
- ✓ **B. A genuine, verifiable emergency that necessitates immediate closing, documented by the borrower**
- C. An emergency declared by the lender to expedite processing
- D. A market-rate change of more than 1%

Explanation: The TRID waiting periods may be waived if the consumer signs a written statement describing the bona fide personal financial emergency (e.g., imminent foreclosure of another property). It must be a genuine emergency and cannot be pre-printed or waived in advance.

Q19: Under the SAFE Act, an individual loan processor who exercises discretionary authority in determining whether a borrower qualifies for a loan would be considered:

- A. An underwriter, not an MLO
- ✓ **B. An MLO who must be licensed**
- C. An administrative employee exempt from licensure
- D. A support staff member with no licensing requirement

Explanation: Loan processors or underwriters who exercise discretion in determining whether to approve or structure a loan are considered MLOs under the SAFE Act and must be licensed. Purely administrative processing (no discretion) may be exempt.

Q20: Which of the following is TRUE regarding the NMLS Consumer Access portal?

- A. It is available only to law enforcement
- ✓ **B. It allows consumers to verify the licensure status of MLOs and companies**
- C. It contains detailed financial information about individual MLOs
- D. It is only updated annually

Explanation: NMLS Consumer Access (consumer.nmls.org) is a publicly available website that allows consumers to look up and verify the license status, employer history, and any public regulatory actions for MLOs and mortgage companies.

Q21: Under the BSA/AML requirements, which type of report should an MLO file when they suspect a borrower is attempting to structure transactions to avoid CTR filing requirements?

- A. Currency Transaction Report (CTR)
- ✓ **B. Suspicious Activity Report (SAR)**
- C. Bank Secrecy Report (BSR)
- D. Mortgage Fraud Report (MFR)

Explanation: Structuring (breaking up transactions to avoid CTR requirements) is a federal crime. Financial institutions must file a Suspicious Activity Report (SAR) when they suspect structuring, money laundering, or other suspicious financial activity.

Q22: An MLO who holds licenses in multiple states must:

- A. Use a different NMLS number for each state
- ✓ **B. Maintain a single NMLS record but ensure their license is active in each state where they originate**
- C. Be employed by a different company in each state
- D. Complete 20 hours of PE for each state annually

Explanation: The NMLS system allows MLOs to maintain a single NMLS Unique Identifier across all state licenses. They can hold licenses in multiple states under the same NMLS number but must ensure each state license is actively maintained through CE and renewal.

Q23: Under SAFE Act standards, which of the following is a mandatory element of a pre-licensure education course?

✓ A. 3 hours of ethics, including instruction on fraud prevention

- B. 5 hours of state-specific real estate law
- C. 2 hours of mortgage broker compensation
- D. 4 hours of conventional loan underwriting

Explanation: The SAFE Act requires 20 hours of PE including: 3 hours of federal law/regulations, 3 hours of ethics (with fraud, consumer protection, and fair lending), 2 hours of non-traditional mortgage products, and 12 hours of electives.

Q24: After an MLO fails the national NMLS exam, how long must they wait before retaking it the first time?

A. No waiting period required

✓ B. 30 days

- C. 90 days after the third failure
- D. 180 days after the third failure

Explanation: After failing the SAFE MLO national exam, candidates must wait 30 days before retaking it. After three failures, a 180-day waiting period applies before a fourth attempt.

Q25: A state-licensed MLO who fails to renew their license on time is in 'lapsed' status. To restore the license, they must typically:

A. Retake the 20-hour pre-licensure education course

✓ B. Pay reinstatement fees and meet any additional state requirements, which may include retesting if the lapse is extended

- C. Wait 2 years before reapplying
- D. Only pay the renewal fee with no additional requirements

Explanation: A lapsed license can typically be reinstated by paying reinstatement fees and meeting state-specific requirements. Extended lapses (often 5+ years) may require retaking the SAFE exam. Requirements vary by state.

Q26: Under NMLS standards, an MLO must report which of the following to NMLS/their state regulator?

A. Change of home address only

✓ B. Criminal convictions, regulatory actions, and material changes in employment within 30 days

- C. Change in marital status
- D. Annual income changes

Explanation: MLOs are required to update their NMLS record and/or notify state regulators of material changes including criminal convictions/charges, regulatory actions or sanctions, and changes in employment, typically within 30 days of the event.

Q27: Which of the following best describes the purpose of a surety bond for a licensed MLO or mortgage company?

- A. It insures the lender against loan defaults
- ✓ B. It provides financial protection to consumers harmed by MLO misconduct
- C. It protects the MLO from personal liability in lawsuits
- D. It guarantees the MLO's income

Explanation: A surety bond is a financial guarantee that consumers can make claims against if they are harmed by an MLO's illegal or unethical conduct. It ensures that funds are available to compensate harmed consumers and is required by most states for MLO and company licensing.

Q28: The SAFE Act's requirement that MLOs disclose their NMLS Unique Identifier applies to which types of communications?

- A. Personal social media posts only
- ✓ B. Residential mortgage loan applications and solicitations or advertisements for residential mortgage loans
- C. Internal company emails only
- D. Only documents submitted to borrowers at closing

Explanation: The SAFE Act requires the NMLS Unique Identifier to appear on all residential mortgage loan applications and on all solicitations or advertisements for residential mortgage loans, including print ads, online content, and marketing materials.

Section 2: General Mortgage Knowledge

Q29: Which government agency oversees Fannie Mae and Freddie Mac?

- A. HUD
- B. Federal Reserve
- ✓ C. FHFA (Federal Housing Finance Agency)
- D. FDIC

Explanation: The Federal Housing Finance Agency (FHFA) serves as the regulator and conservator (since 2008) of Fannie Mae and Freddie Mac. FHFA sets conforming loan limits and oversees the GSEs' financial stability and mission compliance.

Q30: The VA funding fee for a first-time use, no-down-payment purchase loan is approximately:

- A. 0.5%
- B. 1.25%
- ✓ C. 2.15%
- D. 3.3%

Explanation: The VA funding fee for a first-use purchase loan with no down payment is currently 2.15% of the loan amount. Veterans with service-connected disabilities are exempt from the funding fee. The fee is lower with a down payment.

Q31: FHA's annual mortgage insurance premium (MIP) can be canceled when:

- A. The loan reaches 80% LTV
- B. The loan has been paid down to 78% LTV based on the original purchase price
- ✓ C. FHA annual MIP on loans with original LTV above 90% cannot be canceled for the life of the loan (for loans originated after June 2013)
- D. The borrower's credit score reaches 740

Explanation: For FHA loans originated after June 2013 with LTV over 90% at origination, annual MIP lasts for the life of the loan and cannot be removed. For loans with LTV ≤90% at origination, MIP can be canceled after 11 years.

Q32: Which of the following best describes 'par pricing' for a mortgage?

- ✓ A. A rate at which no points are paid or received by either party
- B. A rate below the market average
- C. The prime rate plus a margin
- D. A fixed rate for the entire loan term

Explanation: Par pricing is the interest rate at which neither the borrower pays discount points nor does the lender pay a premium (YSP/lender credit). It is the 'neutral' rate at which there are no upfront rate adjustments.

Q33: A 'bridge loan' is typically used to:

- A. Finance commercial real estate construction
- ✓ B. Provide short-term financing to bridge the gap between selling one home and purchasing another
- C. Permanently finance a home purchase with a 5-year term
- D. Finance renovations before a home is listed for sale

Explanation: A bridge loan is a short-term loan used to 'bridge' the gap between selling a current home and purchasing a new one. It allows borrowers to use their existing home's equity for a down payment before they sell.

Q34: Which of the following is NOT a feature of a USDA Guaranteed Rural Housing Loan?

- A. No down payment required
- B. Income limits apply
- C. Geographic restrictions apply
- ✓ D. Available for investment properties

Explanation: USDA Rural Development loans are for owner-occupied primary residences only — investment properties are not eligible. The program offers 100% financing with income and geographic restrictions.

Q35: An interest-only mortgage allows the borrower to pay only interest for a specified period. At the end of the interest-only period:

- A. The loan balance remains the same and payments stay the same
- B. The loan is forgiven
- ✓ C. Payments increase because principal repayment begins, fully amortizing the remaining balance over the remaining term
- D. The interest rate resets to the current market rate

Explanation: After the interest-only period, the borrower must begin repaying principal. Payments increase substantially because the full remaining principal must be amortized over the remaining loan term, which is shorter than the original term.

Q36: Which of the following best describes the difference between 'recourse' and 'non-recourse' loans?

✓ **A. Recourse loans allow the lender to pursue the borrower's other assets after foreclosure; non-recourse loans do not**

- B. Non-recourse loans are available only to commercial borrowers
- C. Recourse loans are insured by the government
- D. Non-recourse loans have lower interest rates

Explanation: With a recourse loan, if foreclosure proceeds don't cover the debt, the lender can pursue a deficiency judgment against the borrower's other assets. Non-recourse loans limit the lender's remedy to the collateral (the property) only. State anti-deficiency laws vary.

Q37: Which of the following mortgage products is designed specifically for purchasing and renovating a property simultaneously?

- A. Cash-out refinance
- ✓ **B. FHA 203(k) Rehabilitation Loan**
- C. USDA Direct Loan
- D. VA Cash-Out Refinance

Explanation: The FHA 203(k) Rehabilitation Loan allows borrowers to finance both the purchase (or refinance) of a home AND renovation costs in a single loan. There is a limited 203(k) for minor repairs and a standard 203(k) for major renovations.

Q38: The 'origination fee' charged by a lender is best described as:

- A. A fee that only applies to government loans
- ✓ **B. A fee charged by the lender for processing and administering the loan**
- C. A fee charged by the title company
- D. A fee that compensates the appraiser

Explanation: The loan origination fee is charged by the lender (or mortgage broker) for processing, underwriting, and originating the loan. It is typically expressed as a percentage of the loan amount (1 point = 1%) or as a flat fee.

Q39: Which of the following is TRUE about Fannie Mae's Desktop Underwriter (DU) and Freddie Mac's Loan Product Advisor (LPA)?

- A. They are government-mandated systems that must be used for all conventional loans
- ✓ **B. They are automated underwriting systems that evaluate loan risk and provide findings**
- C. They replace the need for a human underwriter entirely
- D. They are only used for jumbo loans

Explanation: DU (Fannie Mae) and LPA (Freddie Mac) are automated underwriting systems (AUS) that analyze the loan data against investor guidelines and provide a risk assessment (Approve/Eligible, Refer, etc.). They streamline underwriting but do not replace human judgment for complex files.

Q40: The FHA loan limit in most standard areas is set at what percentage of the conforming loan limit?

- ✓ **A. 65%**
- B. 80%
- C. 100%
- D. 115%

Explanation: FHA loan limits are set at 65% of the conforming loan limit in most areas (the 'floor'). In high-cost areas, FHA limits can reach up to 150% of the conforming limit (the 'ceiling'). FHA limits are updated annually by HUD.

Q41: A 'rate cap' on an ARM loan protects the borrower by:

- A. Guaranteeing the rate will not increase for the life of the loan
- ✓ **B. Limiting how much the rate can increase at each adjustment and over the life of the loan**
- C. Setting a floor below which the rate cannot decrease
- D. Locking the rate for the first 5 years

Explanation: ARM caps limit rate increases — periodic caps restrict how much the rate can change at each adjustment period, and lifetime caps limit the total increase over the life of the loan. For example, a 2/2/5 cap means 2% initial adjustment, 2% per adjustment, 5% lifetime.

Q42: The 'margin' on an ARM is:

- A. The amount the rate can change at each adjustment
- ✓ **B. The spread added to the index to determine the fully-indexed rate**
- C. The initial rate below the market rate
- D. The lender's profit expressed as a percentage

Explanation: The margin is a fixed percentage that the lender adds to the index to calculate the ARM's fully-indexed interest rate (Rate = Index + Margin). The margin is fixed for the life of the loan and represents the lender's spread.

Q43: Which of the following is a characteristic of a 'conventional' loan?

- A. It is insured or guaranteed by the federal government
- ✓ **B. It is not insured or guaranteed by any government agency**
- C. It requires mortgage insurance for all borrowers
- D. It can only be used for primary residences

Explanation: Conventional loans are not insured or guaranteed by the federal government (unlike FHA, VA, or USDA loans). They may be conforming (meeting GSE guidelines) or non-conforming (jumbo). PMI is only required when LTV exceeds 80%.

Q44: Which factor would result in the LOWEST mortgage interest rate, all else being equal?

- A. Investment property with 75% LTV
- ✓ **B. Primary residence with 60% LTV and 780 credit score**
- C. Second home with 85% LTV
- D. Primary residence with 95% LTV and 680 credit score

Explanation: Mortgage rates are based on risk factors. Primary residences have the lowest risk (vs. investment/second home). Low LTV (60%) means more equity and lower default risk. High credit score (780) reflects strong creditworthiness. This combination results in the best pricing.

Q45: Amortization in a mortgage refers to:

- ✓ **A. The process of paying off the loan through regular principal and interest payments over time**
- B. The annual increase in property value
- C. The calculation of the loan's prepayment penalty
- D. The process of obtaining PMI cancellation

Explanation: Amortization is the gradual repayment of a loan through regular periodic payments that cover both interest and principal. With each payment, the interest portion decreases and the principal portion increases, until the loan is fully repaid at maturity.

Q46: Which of the following describes a 'subprime' mortgage?

- A. A loan below the prime rate
- ✓ B. A loan made to borrowers with impaired credit who do not qualify for prime (conventional) mortgage rates
- C. A government-insured loan for first-time buyers
- D. A loan with a below-market introductory rate

Explanation: Subprime mortgages are made to borrowers who do not qualify for prime (conventional) loans due to credit impairments. These loans carry higher rates and fees to compensate for increased default risk.

Q47: The debt-service-coverage ratio (DSCR) is most commonly used for:

- A. Qualifying borrowers for residential primary residences
- B. Evaluating the income of self-employed borrowers
- ✓ C. Qualifying investment properties based on rental income relative to debt service
- D. Calculating the maximum conforming loan amount

Explanation: DSCR = Net Operating Income / Total Debt Service. It is commonly used to qualify investment properties (including rental properties) by comparing rental income to mortgage payments. A DSCR ≥ 1.0 means the property generates enough income to cover its debt.

Q48: A 'shared appreciation mortgage' (SAM) is one in which:

- A. Two borrowers share equal responsibility for the mortgage
- ✓ B. The borrower receives a below-market rate in exchange for giving the lender a percentage of the home's future appreciation
- C. The lender and a government agency share the mortgage guarantee
- D. The borrower pays only half the interest for the first 5 years

Explanation: In a shared appreciation mortgage, the lender provides a below-market interest rate or other benefit in exchange for a contractual right to share in the property's appreciation when the home is sold or the loan matures.

Q49: Which of the following is a 'non-traditional' mortgage product requiring special disclosure under the SAFE Act's continuing education requirements?

- A. 30-year fixed-rate conventional loan
- ✓ B. Interest-only and payment-option ARMs
- C. FHA 30-year fixed-rate loan
- D. Conforming 15-year fixed-rate loan

Explanation: The SAFE Act's CE requirements specifically address non-traditional mortgage products, which include interest-only loans, payment-option ARMs, negative amortization loans, and other products with complex features that may not be suitable for all borrowers.

Q50: Which secondary market entity was placed into government conservatorship in September 2008?

- A. Ginnie Mae and HUD
- ✓ B. Fannie Mae and Freddie Mac
- C. The Federal Home Loan Banks
- D. The Federal Reserve

Explanation: In September 2008, the federal government placed Fannie Mae and Freddie Mac into conservatorship under the newly created FHFA due to their financial instability during the housing crisis. They remain in conservatorship today.

Q51: A 'Homestyle Renovation' loan is offered by:

- A. FHA
- ✓ B. Fannie Mae
- C. VA
- D. USDA

Explanation: Fannie Mae's HomeStyle Renovation loan (similar to FHA's 203(k)) allows borrowers to finance the purchase or refinance of a home along with renovation costs in a single conventional loan. Freddie Mac has a similar product called CHOICERenovation.

Q52: Which of the following is TRUE about 'discount points' on a mortgage?

- A. They increase the interest rate
- ✓ B. Each point represents 1% of the loan amount paid upfront to reduce the interest rate
- C. They are only available on government loans
- D. They are required on all conventional loans

Explanation: Discount points (also called 'points') are upfront fees equal to 1% of the loan amount per point. Paying points 'buys down' the interest rate — typically 0.25% per point, though this varies. They represent a prepayment of interest.

Q53: The 'break-even period' for paying discount points is calculated as:

- A. Loan balance divided by the monthly payment
- ✓ B. Cost of points divided by the monthly savings from the lower rate
- C. Number of months until full amortization
- D. Number of years until equity reaches 20%

Explanation: The break-even period = Cost of points ÷ Monthly savings from the lower rate. If paying 1 point (\$2,000) saves \$40/month, break-even is 50 months. If you plan to keep the loan longer than the break-even period, paying points makes financial sense.

Q54: Which of the following is a requirement for a loan to qualify as a 'Qualified Mortgage' (QM)?

- A. Fixed interest rate only
- ✓ B. No negative amortization, no interest-only payments, no balloon payments (with limited exceptions), and regular periodic payments
- C. Maximum LTV of 80%
- D. Minimum down payment of 5%

Explanation: QM requires: no negative amortization, no interest-only payments, no balloon payments (with exceptions for small creditors), regular periodic payments, maximum loan term of 30 years, and compliance with points and fees limits.

Q55: Which section of the URLA/1003 contains information about the borrower's assets?

- A. Section 1 — Borrower Information
- B. Section 2 — Financial Information — Real Estate
- C. Section 3 — Financial Information — Other Properties
- ✓ D. Section 4 — Financial Information — Assets and Liabilities

Explanation: Section 4 of the redesigned URLA covers Financial Information — Assets and Liabilities, including bank accounts, investment accounts, other assets, real estate owned details (from Section 2/3), and liabilities/debts.

Q56: A 'verbal verification of employment' (verbal VOE) is typically completed:

- A. At the time of application
- ✓ B. Just before or on the day of closing to confirm the borrower is still employed
- C. 30 days before closing
- D. After the loan funds

Explanation: A verbal VOE is typically completed within 10 business days before closing (or on the day of closing for some lenders) to verify that the borrower's employment status has not changed since the loan was submitted.

Section 3: Loan Origination Activities

Q57: When calculating qualifying income for a self-employed borrower, lenders typically use:

- A. Gross business revenue
- ✓ B. The average of the last 2 years' tax return net income (Schedule C, Schedule E, or K-1)
- C. The most recent year's income only
- D. A minimum income floor of \$50,000

Explanation: For self-employed borrowers, lenders calculate qualifying income using IRS tax returns (typically the previous 2 years), analyzing net income from Schedule C (sole proprietor), Schedule E (rental/S-Corp/partnership), or K-1s. The income is generally averaged over 2 years.

Q58: Which of the following assets would typically be considered 'liquid' for mortgage qualifying?

- ✓ A. Vested 401(k) or IRA funds
- B. Equity in the property being purchased
- C. Unvested stock options
- D. Personal property (cars, jewelry)

Explanation: Liquid assets are those that can be readily converted to cash. Vested 401(k)/IRA funds are considered liquid (though only a portion may be used after penalties). Equity in the subject property, unvested options, and personal property are generally not counted as liquid reserves.

Q59: The purpose of a 'flood certification' in mortgage origination is to:

- A. Determine if the property needs earthquake insurance
- ✓ B. Determine if the property is in a Special Flood Hazard Area (SFHA) requiring flood insurance
- C. Assess the property's drainage system
- D. Satisfy USDA geographic eligibility requirements

Explanation: A flood certification (flood determination) verifies whether the property is in FEMA-designated Special Flood Hazard Area. If it is, federal law (the National Flood Insurance Act) requires the borrower to purchase flood insurance as a condition of the loan.

Q60: In mortgage underwriting, 'capacity' refers to:

- A. The borrower's credit history
- B. The property's condition
- ✓ C. The borrower's ability to repay the loan, measured through income and debt ratios
- D. The amount of equity in the property

Explanation: The 'Three Cs' of underwriting are Character (credit history), Capacity (ability to repay — income/DTI), and Collateral (the property's value). Capacity evaluates whether the borrower has sufficient income relative to their debts to sustain the loan.

Q61: A 'subordination agreement' in mortgage lending is used when:

- A. A borrower files for bankruptcy
- ✓ B. A junior lienholder agrees to keep their lien in subordinate position when a first mortgage is refinanced
- C. A property is transferred to a new owner
- D. A borrower requests a loan modification

Explanation: When refinancing a first mortgage on a property with a second mortgage/HELOC, the second lienholder must execute a subordination agreement agreeing to remain in second position. Otherwise, the refinanced first mortgage would take second position behind the existing second lien.

Q62: A 'streamlined appraisal' or 'property inspection waiver' (PIW) may be offered when:

- A. All loans over \$1 million
- ✓ B. AUS findings indicate sufficient data exists to support value without a full appraisal
- C. The borrower refuses an appraisal
- D. The property is new construction

Explanation: Fannie Mae (Appraisal Waivers) and Freddie Mac (ACE) may offer appraisal waivers when their AUS systems have sufficient property data to support value determination. These are offered at the AUS's discretion based on the loan profile and property data.

Q63: Which of the following costs is typically an 'escrow item' (prepaid) rather than a 'closing cost'?

- A. Lender's origination fee
- B. Title insurance premium
- ✓ C. Homeowner's insurance premium for the first year
- D. Credit report fee

Explanation: Prepaids are items collected at closing that cover costs for the first period of the loan: homeowner's insurance premium (upfront), prepaid interest (from closing to first payment), and initial escrow deposits for taxes and insurance. These differ from lender fees and title costs.

Q64: Under TRID, 'services you can shop for' in Section C of the Loan Estimate include:

- A. Appraisal fee
- B. Credit report fee
- ✓ C. Survey and pest inspection
- D. Flood determination fee

Explanation: Section C covers services the borrower can shop for if they choose (such as survey, pest/termite inspection, and in some cases, title services). The borrower may choose their own provider from the lender's list. These have 10% aggregate tolerance if the borrower uses the lender's suggested provider.

Q65: A 'title commitment' (or title binder) issued by a title company means:

- A. The title is guaranteed to be clear of all liens
- ✓ B. The title company has researched the title and commits to issuing title insurance subject to listed exceptions
- C. The seller has cleared all liens on the property
- D. The property has passed all inspections

Explanation: A title commitment is a preliminary report issued by the title company outlining their willingness to insure title subject to specific exceptions (listed conditions). The final title insurance policy is issued after closing when all conditions are met.

Q66: In a purchase transaction, what is the maximum time a seller can provide a seller credit (concession) for closing costs?

✓ **A. Maximum allowed varies by loan program (FHA: 6%, VA: 4%, Conventional: 2-9% based on LTV)**

- B. No maximum — unlimited seller credits allowed
- C. Maximum 3% for all loan types
- D. Maximum 5% for government loans only

Explanation: Seller concession limits vary by loan program: FHA allows up to 6%; VA allows up to 4% (for concessions beyond normal closing costs); Conventional limits range from 2% (LTV over 90%), 3% (LTV 75.01-90%), to 6-9% (lower LTVs); USDA allows up to 6%.

Q67: What is 'chain of title' in real estate?

A. The list of lenders who have held the mortgage on the property

✓ **B. The chronological record of all previous owners and transfers of ownership for a property**

- C. The sequence of inspections required before closing
- D. The sequence of loan applications submitted for the property

Explanation: Chain of title is the historical record of all owners and transfers of a property's title from the original owner to the present. A clear chain of title without gaps or defects is essential for obtaining title insurance and clear ownership.

Q68: An MLO preparing a Loan Estimate notices they misunderstood the loan purpose. The borrower wants a 'cash-out refinance' but the LE shows 'rate-and-term refinance.' The MLO should:

A. Proceed since it is a minor error

✓ **B. Issue a corrected Loan Estimate with the proper loan purpose before closing**

- C. Correct it on the Closing Disclosure only
- D. Have the borrower initial the error at closing

Explanation: The loan purpose is a material disclosure on the Loan Estimate. If it is incorrect, a corrected LE must be issued. Proceeding with an incorrect LE and only correcting at closing could be a TRID violation.

Q69: What is the purpose of the 'Notice of Right to Receive Copy of Appraisal' under ECOA?

A. To give the appraiser permission to inspect the property

✓ **B. To inform the borrower that they have the right to receive a copy of the appraisal at no charge, promptly upon completion**

- C. To notify the AMC that the appraisal is ordered
- D. To inform the seller that the lender has ordered an appraisal

Explanation: ECOA/Regulation B requires lenders to notify applicants of their right to receive a copy of any appraisal/valuation. The notice must be sent within 3 business days of application, and the appraisal must be provided at no charge at least 3 business days before consummation.

Q70: A 'purchase money mortgage' (PMM) specifically refers to:

A. Any mortgage used to purchase real estate

✓ **B. A mortgage given by the seller to help finance the buyer's purchase (seller financing)**

- C. A mortgage specifically for purchasing investment properties
- D. An FHA purchase loan

Explanation: While 'purchase money mortgage' is sometimes used loosely to refer to any mortgage for a purchase, in its strict legal sense it refers to a seller-financed mortgage where the seller carries back a note to help the buyer finance the purchase. This distinction matters for TILA rescission exemption purposes.

Q71: An MLO who processes a loan knowing it contains a false Social Security number commits:

- A. A civil infraction only
- ✓ **B. Identity theft and mortgage fraud — both federal felonies**
- C. A technical RESPA violation only
- D. A minor processing error

Explanation: Knowingly processing a loan with a false Social Security number involves identity theft and mortgage fraud — both serious federal felonies under 18 U.S.C. Section 1344 (bank fraud) and 18 U.S.C. Section 1014 (false statements on loan applications).

Q72: Which of the following situations represents a conflict of interest that an MLO should disclose?

- ✓ **A. The MLO recommends a title company that is owned by their employer**
- B. The MLO uses an AUS system provided by Fannie Mae
- C. The MLO discloses their NMLS number as required
- D. The MLO works for a bank rather than a broker

Explanation: When an MLO refers a borrower to a settlement service provider (like a title company) that is affiliated with or owned by the MLO's employer, this is an affiliated business arrangement that must be disclosed under RESPA. The conflict of interest must be transparently disclosed.

Q73: Under the CFPB's ability-to-repay rule, a lender who knowingly originates a loan the borrower cannot afford is potentially liable for:

- A. Only regulatory fines
- ✓ **B. Up to 3 years of finance charges, attorney fees, and other damages if the borrower brings a private legal action**
- C. Only criminal charges
- D. A maximum fine of \$1,000 per violation

Explanation: If an ATR violation is found and the borrower brings a private legal action, damages can include actual damages (including up to 3 years of finance charges), statutory damages, attorney fees, and court costs — creating significant lender liability.

Q74: An MLO who discriminates against a borrower based on the demographic composition of the neighborhood where the property is located is committing:

- A. Lawful risk-based pricing
- B. Reverse redlining if the area is predominantly minority
- ✓ **C. Redlining, which violates the Fair Housing Act and ECOA**
- D. Geographic underwriting, which is standard practice

Explanation: Refusing to make loans or offering unfavorable terms based on a neighborhood's racial/ethnic composition is redlining, which violates the Fair Housing Act and ECOA regardless of the individual applicant's qualifications.

Q75: When an MLO suspects a real estate transaction may involve money laundering, they should:

- A. Proceed with the transaction if the borrower qualifies financially
- B. Immediately alert the borrower so they can provide an explanation
- ✓ **C. Report their suspicions through their institution's BSA/AML compliance program (filing a SAR if required) without tipping off the borrower**
- D. Decline the loan only if the suspicious activity is certain

Explanation: MLOs must follow their institution's BSA/AML procedures, which include filing a SAR if required. Crucially, 'tipping off' — alerting the suspect that a SAR has been or will be filed — is a federal crime and must be avoided.

Q76: Which of the following best describes 'flipping' as a form of mortgage fraud?

- A. Legally buying a distressed property, renovating it, and selling at a profit
- ✓ **B. Fraudulently inflating the property's value through a series of related-party sales and using the inflated appraisal to obtain a larger loan**
- C. Rapidly processing a loan to meet a closing deadline
- D. Refinancing multiple times for legitimate rate improvements

Explanation: Fraudulent property flipping involves artificially inflating property values through collusive sales (often with straw buyers and complicit appraisers) to extract larger loan proceeds. It is a federal crime distinct from legitimate fix-and-flip investing.

Q77: The 'duty to warn' in mortgage lending ethics means an MLO should:

- A. Always warn borrowers about potential rate increases in ARMs
- ✓ **B. Provide borrowers with clear, accurate information about risks, even when it might cause the borrower to choose a different product or lender**
- C. Warn competitors about potentially fraudulent borrowers
- D. Warn regulators about borrowers with multiple applications

Explanation: Ethical MLOs have a duty to inform borrowers about the risks, costs, and terms of their loan products — even if doing so might lead the borrower to choose a different product or lender. This includes risks of ARMs, balloon payments, prepayment penalties, and other features.

Q78: An MLO who works for a federally regulated bank and also personally refers clients to an unaffiliated title company owned by the MLO's spouse without disclosure is likely violating:

- A. Only the bank's internal ethics policy
- ✓ **B. RESPA Section 8, as an undisclosed AfBA or improper kickback**
- C. FCRA
- D. The SAFE Act

Explanation: If the MLO's spouse owns the title company and the MLO refers clients to it without RESPA AfBA disclosure, this constitutes an undisclosed affiliated business arrangement or improper benefit from referrals, violating RESPA Section 8.

Q79: An MLO who charges a higher origination fee to a borrower based on the borrower's ethnicity, while charging lower fees to similarly qualified borrowers of other ethnicities, is engaging in:

- A. Risk-based pricing — legal and common
- ✓ **B. Pricing discrimination — illegal under ECOA and the Fair Housing Act**
- C. Acceptable negotiation
- D. A TRID fee tolerance violation

Explanation: Charging different prices for identical products and services based on a borrower's race, ethnicity, or other protected class characteristic is illegal pricing discrimination under ECOA and the Fair Housing Act, regardless of whether it is intentional.

Q80: A state-licensed MLO who wants to originate loans in a new state must:

- A. Complete a new 20-hour pre-licensure course for that state
- B. Pass the national SAFE test again
- ✓ **C. Submit a new license application through NMLS for that state, which may include a state-specific test or additional state requirements**
- D. Obtain employment at a company licensed in that new state as the only requirement

Explanation: To add a new state license, an MLO submits an application through NMLS for that state. Some states have state-specific test components or additional education requirements beyond the federal minimums. The existing national test score is generally accepted.

Q81: Under the SAFE Act, which of the following is TRUE about the passage requirement for the SAFE MLO National Test?

- A. The passing score is 80% and is the same for all states
- ✓ **B. The passing score is 75% of correct answers**
- C. There is no minimum passing score — any completion earns credit
- D. The passing score is 70%

Explanation: The SAFE MLO National Test requires a score of 75% or higher (75 correct out of 100 scored questions, since 25 of 125 questions are unscored pilot questions) to pass. This is a uniform national standard.

Q82: Which of the following is an example of unlicensed activity that would violate the SAFE Act?

- A. A licensed MLO processing loan paperwork
- ✓ **B. An unlicensed administrative assistant taking a complete mortgage loan application from a borrower**
- C. A licensed MLO referring a client to another licensed MLO at a different company
- D. A licensed MLO discussing general mortgage rates with a potential client at an open house

Explanation: An unlicensed person taking a complete mortgage loan application is performing an MLO activity requiring licensure under the SAFE Act. Administrative assistants may not take applications or offer or negotiate loan terms without being licensed.

Q83: A licensed mortgage company that fails to supervise its MLOs and allows them to engage in fraudulent practices may face:

- A. No liability since the company did not personally commit the fraud
- ✓ **B. Regulatory action, including fines, license suspension/revocation, and civil liability for the actions of its MLOs**
- C. Only informal warnings from the state regulator
- D. Liability only if the company had actual knowledge of each fraud

Explanation: Mortgage companies have an obligation to supervise their MLOs. Failure to maintain adequate supervision can result in regulatory action against the company — including fines, license suspension/revocation — as well as civil liability, even if company officers lacked direct knowledge.

Q84: Which of the following BEST describes the NMLS system's purpose?

- A. It is a federal agency that directly employs all MLOs
- ✓ **B. It is a multi-state licensing and registration system that provides state licensing officials a common platform and makes MLO information available to the public**
- C. It is operated by the Federal Reserve to regulate mortgage rates
- D. It issues direct NMLS-branded mortgage licenses that supersede state licenses

Explanation: NMLS (Nationwide Multistate Licensing System) is not a federal agency — it is a multi-state licensing platform administered by CSBS that allows state regulators to efficiently manage licensing, enables MLOs to maintain a single record across states, and provides consumer access to licensee information.

Q85: The ECOA requires that joint applicants be treated as a single applicant for notification purposes. When two applicants apply for credit and the lender takes adverse action, the lender must:

- ✓ **A. Send adverse action notices to both applicants**
- B. Send only one notice to the primary applicant
- C. Send notice only to the applicant with the higher income
- D. Send notice to whichever applicant initiated the application

Explanation: Under ECOA, when two or more persons jointly apply for credit, an adverse action notice must be provided to each applicant. The lender cannot assume one applicant will inform the other.

Q86: Under the SAFE Act, an MLO's license number must be included in which of the following?

- A. The MLO's personal financial statements
- ✓ **B. All residential mortgage loan applications and advertisements**
- C. All communications with the state regulator only
- D. Internal company documents only

Explanation: The SAFE Act requires that an MLO's NMLS Unique Identifier (license number) appear on all residential mortgage loan applications and all solicitations or advertisements for residential mortgage loans.

Section 4: Ethics

Q87: Which of the following disclosures must be provided within 3 business days of receiving a completed application under TRID?

- A. Closing Disclosure
- B. Loan Estimate
- C. Affiliated Business Arrangement Disclosure
- ✓ D. Both B and C

Explanation: Under TRID and RESPA, within 3 business days of application, the lender must provide: (1) the Loan Estimate (replacing the GFE and early TILA disclosure) and (2) the Affiliated Business Arrangement (AfBA) disclosure if applicable.

Q88: A 'private label' mortgage-backed security differs from an agency MBS because:

- A. It is backed by FHA loans exclusively
- ✓ B. It is issued by private entities without a government or GSE guarantee
- C. It only includes prime loans
- D. It is regulated by HUD

Explanation: Private label (non-agency) MBS are issued by private financial institutions without Fannie Mae, Freddie Mac, or Ginnie Mae guarantees. They typically include jumbo, Alt-A, or subprime loans and carry higher credit risk to investors.

Q89: Which of the following is NOT a valid method for verifying a borrower's assets for mortgage qualification?

- A. Two months of bank statements
- ✓ B. A verbal statement from the borrower's employer
- C. Investment account statements
- D. A verification of deposit (VOD) from the financial institution

Explanation: Assets must be verified through documented sources: bank statements, investment statements, VODs, or retirement account statements. A verbal statement from the borrower's employer does not document the borrower's personal assets.

Q90: Which loan program allows for a down payment as low as 3% for first-time homebuyers under a conventional loan?

- A. FHA only
- ✓ B. Fannie Mae's HomeReady and Freddie Mac's Home Possible programs
- C. VA loans
- D. USDA loans

Explanation: Fannie Mae's HomeReady and Freddie Mac's Home Possible programs allow conventional loans with down payments as low as 3% for eligible borrowers (generally first-time buyers or those meeting income limits). These are alternatives to FHA financing.

Q91: The 'fully indexed rate' on an ARM is calculated as:

- A. The initial teaser rate plus the margin
- B. The current index plus the lifetime cap
- ✓ C. The current index value plus the loan's margin
- D. The average of the index over the past 12 months plus the margin

Explanation: The fully indexed rate = Current Index + Margin. This is the rate the ARM would reset to at the next adjustment if the index stayed at its current level. It represents the 'true' long-term cost of the ARM after the introductory period.

Q92: Which of the following describes the 'due-on-sale' clause in a mortgage?

- A. A clause requiring the borrower to sell the property after 5 years
- ✓ B. A clause allowing the lender to demand full repayment if the property is sold or transferred without lender consent
- C. A clause requiring payment of a prepayment penalty upon sale
- D. A clause that sets the loan's maturity date

Explanation: The due-on-sale (alienation) clause allows the lender to call the entire loan balance due if the property is sold or transferred without the lender's consent. This prevents assumption of the loan without the lender's approval.

Q93: A 'wraparound mortgage' is best described as:

- A. A mortgage that includes landscaping and fence repairs
- ✓ B. A new mortgage that encompasses the existing mortgage, with the seller collecting payments and continuing to pay the original loan
- C. A mortgage that covers multiple properties
- D. A loan that refinances and pays off all existing liens

Explanation: A wraparound mortgage is a seller-financed arrangement where the seller extends a new mortgage to the buyer for the full purchase price (including the existing loan balance), continues paying the original mortgage, and keeps the difference in payments as profit.

Q94: The 'maximum financed amount' for an FHA loan is determined by:

- A. The borrower's income
- ✓ B. The lesser of the FHA loan limit for the area or the appraised value (minus the required MIP and down payment)
- C. The purchase price only
- D. The borrower's credit score

Explanation: FHA's maximum loan amount is based on the FHA area loan limit and the property's appraised value. The borrower must contribute the required minimum down payment (3.5% for credit scores 580+), and the loan cannot exceed the FHA limit for that area.

Q95: A lender who offers a 'no-point, no-fee' mortgage is:

- A. Charging no interest
- ✓ **B. Covering all closing costs by charging a higher interest rate**
- C. Offering a government-subsidized loan
- D. Waiving the appraisal and credit report fees only

Explanation: A 'no-point, no-fee' loan means the lender absorbs closing costs by charging a higher interest rate (via lender credits). The costs are built into the rate rather than collected upfront. This benefits borrowers who plan to sell or refinance relatively soon.

Q96: In mortgage lending, 'seasoning' of funds most commonly refers to:

- A. The age of the property
- ✓ **B. How long funds have been in the borrower's account (typically 2-3 months)**
- C. The duration of the borrower's employment
- D. The time since the property was last sold

Explanation: Seasoning of funds refers to how long money has been in the borrower's bank account. Lenders look for 2-3 months of bank statements to verify assets. Funds that have been in the account for only a short time may require sourcing documentation.

Q97: When completing the URLA, a borrower who is self-employed and owns 25% or more of a business must document income using:

- A. A single year of W-2 forms
- B. Business bank statements for the past 6 months
- ✓ **C. 2 years of personal and business tax returns, and the most recent business balance sheet and P&L;**
- D. A letter from the borrower's accountant stating annual income

Explanation: Self-employed borrowers with 25%+ ownership must typically provide 2 years of personal and business tax returns, YTD profit and loss statement, and balance sheet. Most lenders follow Fannie Mae/Freddie Mac guidelines requiring this documentation.

Q98: A borrower who receives alimony or child support income may include it for qualifying if:

- A. The payments are voluntary
- ✓ **B. The income is documented by a court order or agreement and has been received consistently for at least 6 months, and is expected to continue for at least 3 years**
- C. The income has been received for at least 5 years
- D. The amount exceeds 10% of the borrower's total income

Explanation: Alimony and child support income can be used for qualifying if: it is documented by a divorce decree or court order, it has been consistently received for at least 6-12 months (lender and program-specific), and it is expected to continue for at least 3 years.

Q99: Under TRID, a 'changed circumstance' that allows for a revised Loan Estimate includes:

- A. The lender changes its fee schedule
- B. The borrower's financial condition changes after application
- ✓ **C. An Act of God, disaster, or other emergency that affects the settlement services or closing costs**
- D. The loan officer made an error on the original LE

Explanation: Valid changed circumstances that permit a revised LE include: Acts of God/disasters, borrower-requested changes (different loan, property, settlement agent), new information not reasonably available at application, and rate lock. Lender pricing changes and errors do NOT qualify.

Q100: The 'title search' in a real estate transaction is performed to:

- A. Confirm the property's physical boundaries
- ✓ **B. Identify any existing liens, encumbrances, easements, or ownership claims against the property**
- C. Verify the property's zoning classification
- D. Estimate the property's market value

Explanation: A title search reviews public records to identify any issues that could affect clear ownership of the property, including outstanding mortgages, tax liens, judgments, easements, restrictions, and prior ownership disputes. The title insurance policy is based on the title search findings.

Q101: Which of the following is NOT included in the calculation of the annual percentage rate (APR)?

- A. Mortgage insurance premiums
- B. Discount points
- ✓ **C. Property taxes**
- D. Origination fees

Explanation: APR is calculated based on finance charges: interest, origination fees, points, and certain mortgage insurance premiums. Property taxes and homeowner's insurance are NOT finance charges and are not included in the APR calculation.

Q102: A lender must provide a list of homeownership counseling organizations to a mortgage applicant within:

- A. 1 business day of application
- ✓ **B. 3 business days of application**
- C. 7 business days of application
- D. At closing only

Explanation: Under RESPA (as implemented by CFPB rules), lenders must provide applicants with a list of HUD-approved homeownership counseling organizations within 3 business days of receiving a complete application.

Q103: Which of the following is an example of 'churning' or 'loan flipping' that harms a consumer?

- A. Refinancing from 7.5% to 6.0% with break-even in 18 months
- ✓ **B. Refinancing every 6 months each time to access equity while increasing the loan balance**
- C. Refinancing to consolidate credit card debt at a lower rate
- D. Refinancing from an ARM to a fixed-rate when the ARM is about to adjust upward

Explanation: Loan flipping/churning involves repeatedly refinancing a borrower — typically to access equity fees — without providing a net tangible benefit. Refinancing every 6 months to increase the loan balance depletes equity, generates repetitive origination fees, and harms the borrower.

Q104: An MLO's fiduciary duty to their borrower includes:

- A. Maximizing the lender's profit on every transaction
- ✓ **B. Acting in the borrower's best interest, disclosing material information, and avoiding conflicts of interest**
- C. Guaranteeing the lowest rate in the market
- D. Completing the loan regardless of the borrower's ability to repay

Explanation: While MLOs are not always legal fiduciaries, ethical standards require acting in the borrower's best interest, providing complete and accurate information, disclosing conflicts of interest, and recommending suitable products.

Q105: Which of the following represents a 'deceptive practice' under UDAAP?

- A. Clearly disclosing all loan fees on the Loan Estimate
- ✓ **B. Advertising a low introductory rate without disclosing the subsequent higher rate or conditions**
- C. Providing borrowers with 3 business days to review the Loan Estimate
- D. Explaining prepayment penalties before the borrower signs

Explanation: A deceptive practice misleads consumers about material terms. Advertising a low rate without disclosing subsequent rate adjustments or qualification conditions is deceptive — it creates a false impression about the true cost of the loan.

Section 5: Uniform State Content (SAFE Act & Licensing)

Q106: The ethical standard of 'fair dealing' in mortgage lending requires that MLOs:

- A. Charge the same fee to every borrower regardless of loan complexity
- ✓ **B. Deal honestly and openly with borrowers, competitors, and the public**
- C. Only represent one lender at a time
- D. Complete loans only for borrowers with credit scores above 700

Explanation: Fair dealing requires honest, transparent, and non-deceptive conduct in all aspects of the mortgage process — with borrowers, lenders, real estate agents, and regulators. It prohibits misrepresentation, manipulation, and unfair advantage.

Q107: An MLO who recommends a product primarily because it pays them the highest commission, without regard for the borrower's best interest, is guilty of:

- A. Smart business practice
- ✓ **B. Loan steering — a violation of Regulation Z and UDAAP**
- C. Acceptable product recommendation
- D. Compliant risk-based pricing

Explanation: Recommending products to increase MLO compensation at the expense of the borrower's best interest is loan steering, prohibited by Regulation Z's loan originator compensation rules and CFPB's UDAAP authority.

Q108: Under the SAFE Act, a state-licensed MLO who moves to work for a federally chartered bank:

- A. Can continue using their state license at the bank
- ✓ **B. Must surrender their state license and register with the NMLS as a federally registered MLO**
- C. Must maintain both their state license and federal registration simultaneously
- D. Is no longer subject to any oversight

Explanation: State licensure and federal registration are separate tracks under the SAFE Act. When an MLO moves from a non-bank to a federally chartered bank, they transition from state-licensed to federally registered status. They must register through NMLS in the new capacity.

Q109: Which of the following is a component of the 'character' element in the traditional 'Three Cs' of underwriting?

- A. Debt-to-income ratio
- B. Loan-to-value ratio
- ✓ C. Credit history and willingness to repay debts
- D. Property condition

Explanation: The Three Cs of underwriting are: Character (credit history — willingness to repay), Capacity (income and DTI — ability to repay), and Collateral (property value — LTV). Character is assessed primarily through the borrower's credit report and credit score.

Q110: An MLO who helps a borrower falsely claim that a rental property is a primary residence on a loan application is committing:

- A. Creative underwriting
- ✓ B. Occupancy fraud — a form of mortgage fraud
- C. A minor documentation error
- D. A permissible exception to LTV requirements

Explanation: Claiming a property is owner-occupied when it is actually a rental or investment property is occupancy fraud. This misrepresentation affects the rate, LTV requirements, and insurance requirements. It constitutes federal mortgage fraud.

Q111: The minimum passing score on the NMLS National Test Component (SAFE MLO Test) is:

- A. 70%
- ✓ B. 75%
- C. 80%
- D. 85%

Explanation: The NMLS SAFE MLO National Test requires a passing score of 75% (correctly answering at least 75 of 100 scored questions). The test has 125 total questions, with 25 unscored pilot questions randomly distributed.

Q112: Under NMLS rules, continuing education must be completed by an MLO:

- A. Within 6 months of initial licensure
- ✓ B. Annually to maintain an active license, with completion required before renewal
- C. Every 3 years at the time of license renewal
- D. Only when changing employers

Explanation: State-licensed MLOs must complete the required CE (minimum 8 hours) annually before renewing their license. Most states have a December 31 license expiration date, with CE typically required to be completed before the renewal deadline.

Q113: Which of the following would be grounds for the AUTOMATIC revocation of an MLO's state license under the SAFE Act?

- A. Being late on a credit card payment
- ✓ B. Being convicted of any felony
- C. Having a judgment entered against you in a civil lawsuit
- D. Filing for personal bankruptcy

Explanation: A felony conviction automatically disqualifies an MLO from licensing under the SAFE Act. For felonies involving fraud, dishonesty, breach of trust, or money laundering, the bar is permanent. Other felony convictions bar licensure for 7 years from the date of conviction.

Q114: Under the SAFE Act, the primary purpose of requiring MLO registration and licensing is to:

- A. Generate revenue for state governments
- ✓ **B. Protect consumers by ensuring MLOs meet minimum competency and ethical standards and are subject to regulatory oversight**
- C. Limit the number of mortgage originators in the market
- D. Standardize mortgage interest rates

Explanation: The SAFE Act's primary goal is consumer protection — ensuring that individuals who originate mortgages meet minimum educational, testing, and background check requirements, and are accountable to state regulators through the licensing system.

Q115: The 'dual registration' prohibition under the SAFE Act means an MLO:

- A. Cannot work for two lenders simultaneously
- ✓ **B. Cannot hold both state MLO licensure and federal MLO registration at the same time for the same origination activities**
- C. Cannot be licensed in more than 2 states at once
- D. Cannot register as both a broker and a banker

Explanation: An MLO cannot simultaneously hold a state license and a federal registration for the same activities. They are either state-licensed (non-bank) or federally registered (bank/credit union), not both at the same time for the same activities.

Q116: Which of the following is TRUE about the NMLS Unique Identifier?

- A. It changes every time an MLO switches employers
- ✓ **B. It is assigned once and remains with the MLO for their entire career, regardless of employer changes or state moves**
- C. It expires when an MLO's license expires
- D. It is different for each state in which the MLO is licensed

Explanation: The NMLS Unique Identifier is assigned once to each MLO and remains constant throughout their career, regardless of employer changes, state moves, or license expirations. This permanent identifier allows consumers and regulators to track an MLO's complete history.

Q117: Under most state laws, a licensed MLO who receives a consumer complaint must:

- A. Ignore complaints filed more than 6 months after the loan closed
- ✓ **B. Cooperate with the state regulator's investigation and provide requested documentation**
- C. Only respond to complaints forwarded by the CFPB
- D. Settle all complaints within 30 days regardless of merit

Explanation: MLOs are required to cooperate with state regulatory investigations of consumer complaints, including providing loan files, correspondence, and other documentation. Failure to cooperate with a regulator is itself a licensing violation.

Q118: Which of the following is generally TRUE about the NMLS background check requirements for state MLO licensure?

- A. Only criminal convictions within the past 10 years are reviewed
- ✓ **B. A fingerprint-based background check through the FBI is required for all state-licensed MLOs**
- C. Background checks are optional if the MLO has been in the industry for 5+ years
- D. Background checks are only conducted at initial licensure, not at renewal

Explanation: All state-licensed MLOs must submit fingerprints through NMLS for an FBI criminal background check as part of their initial licensure. Most states also require authorization for periodic background monitoring or re-checks at renewal.

Q119: A 'net branch' arrangement in which an MLO operates under a mortgage company's license but controls their own branch finances is:

- A. A standard and universally permitted business model
- ✓ **B. Prohibited in many states because it can result in unlicensed operation and evasion of regulatory oversight**
- C. Required for independent mortgage brokers
- D. Only permitted for FHA lenders

Explanation: Net branch arrangements are prohibited or heavily restricted in many states because they can result in MLOs operating without proper company-level licensure, inadequate supervision, and circumvention of capital and compliance requirements.

Q120: Under the SAFE Act, a state-licensed MLO who wants to continue originating while their license renewal application is pending may do so only if:

- ✓ **A. Their state has a specific provision allowing it AND they have submitted a timely and complete renewal application before expiration**
- B. Their supervisor gives written permission
- C. They have been licensed for more than 5 years
- D. The CFPB grants a waiver

Explanation: Continuation during the renewal period depends on state law. Many states allow MLOs to continue operating while a timely-filed renewal application is pending, but this is state-specific and requires that the renewal application be complete and submitted before the license expired.
